BE QB ANSWERS MSE

UNIT 1

Q1. Explain Prospect Theory and illustrate its principles with example.

1. **Definition**: Prospect Theory, developed by **Kahneman and Tversky (1979)**, explains how people make decisions under risk. Unlike classical economics, people evaluate outcomes **relative to a reference point**, not absolute wealth, and are influenced by perceived **gains and losses**.
2. **Reference Dependence**: Decisions depend on a baseline or reference point.
    - *Example*: Gaining ₹1,000 feels good if unexpected, but disappointing if expecting ₹2,000.
3. **Loss Aversion**: People feel **losses more intensely** than equivalent gains, making them cautious with gains but risk-seeking to avoid losses.
    - *Example*: Losing ₹500 hurts more than the pleasure of gaining ₹500.
4. **Diminishing Sensitivity**: The impact of additional gains or losses decreases as amounts increase.
    - *Example*: The first ₹100 gain gives more happiness than the second ₹100 gain; the first loss hurts more than the next ₹100.
5. **Probability Weighting**: Small probabilities are **overweighted**, and large probabilities **underweighted**.
    - *Example*: People buy lottery tickets (low chance of winning) but ignore high-probability insurance risks.

Overall Example: Choosing between a guaranteed ₹5,000 gain or a 50% chance of ₹10,000 shows risk aversion in gains. Framing it as a loss reverses the preference, demonstrating risk-seeking behavior.

Q2. Compare and contrast Behavioural Economics and Classical/Neo-Classical Economics.

1. **Assumptions about Humans**: Classical economics assumes people are fully rational, self-interested, and aim to maximize utility. Behavioural economics accepts that humans are emotional, biased, and sometimes irrational.
2. **Decision-Making**: Classical theory assumes perfect information and logical choices, while behavioural shows people rely on **heuristics (mental shortcuts)** and are influenced by framing.
3. **Scope**: Classical uses abstract models (supply, demand, equilibrium), while behavioural economics studies **real-world decision patterns** using psychology and experiments.
4. **Outcomes**: Classical predicts consistent behavior, but behavioural reveals anomalies such as procrastination, money illusion, and overconfidence.
5. **Example**: Classical theory says people save rationally for retirement. Behavioural economics shows many under-save due to present bias and procrastination, so policies like **automatic enrollment** work better.

Q3. Describe the phenomenon of Money Illusion with example.

1. **Definition**: Money illusion is when people confuse **nominal values** (face value of money) with **real values** (purchasing power after inflation).
2. **Perception**: Workers feel richer after a wage increase, even if inflation cancels out the actual gain.
3. **Impact**: This illusion leads to poor financial planning, incorrect spending, and resistance to nominal wage cuts.
4. **Macroeconomic Effect**: Economists argue that money illusion affects wage negotiations, inflationary trends, and unemployment adjustments.
5. **Example**: A salary rise from ₹20,000 to ₹22,000 feels like progress. But if inflation rises 12%, the real value of wages actually falls, reducing purchasing power.

Q4. Explain Phillips Curve.

1. **Definition**: The Phillips Curve shows the short-run **inverse relationship between unemployment and inflation**.
2. **Mechanism**: When unemployment is low, workers demand higher wages. Rising wages increase costs, which leads to inflation.
3. **High Unemployment**: When unemployment is high, wage demands fall, reducing inflation.
4. **Policy Implication**: Policymakers face a trade-off – reducing unemployment often increases inflation, while controlling inflation may increase unemployment.
5. **Example**: In the 1960s, countries experienced low unemployment with rising inflation, supporting the Phillips Curve. But later stagflation (high unemployment + inflation) showed limits in the long run.

Q5. Relate Charitable Donation with Altruism.

1. **Altruism**: It is the concern for others' welfare without expecting personal benefit. Behavioural economics studies it as a deviation from self-interest.
2. **Charitable Giving**: Donations are a direct expression of altruism where people give away money, goods, or time for others' benefit.
3. **Psychological Rewards**: Even though donors sacrifice resources, they gain happiness or a **"warm glow effect"**, which motivates giving.
4. **Social Norms**: Charitable giving is often encouraged by culture, religion, or community expectations.
5. **Example**: Donating money during a natural disaster, sponsoring a child's education, or giving to NGOs shows altruistic behavior.

Q6. Explain the concept of Altruism in Behavioural Economics.

1. **Definition**: Altruism refers to actions where individuals care about others' welfare, even when it reduces their own benefit.
2. **Challenge to Classical Economics**: Traditional economics assumes people act in pure self-interest, but altruism shows that people sometimes sacrifice personal gain for others.
3. **Social Preferences**: Behavioural economics studies altruism as part of **fairness, empathy, and moral satisfaction** in decision-making.
4. **Experimental Evidence**: Games like the "Dictator Game" show that people often share money with strangers even when they don't have to.
5. **Example**: A person donating to an orphanage, volunteering for community service, or helping a stranger without expecting anything in return.

Q7. Explain Wage Hike in Money Economics.

1. **Definition**: Wage hike means an **increase in the nominal wages** of employees, usually given by employers as reward, adjustment, or incentive.
2. **Perceived Benefit**: Workers see wage hikes as increased income and improved standard of living, which boosts motivation and satisfaction.
3. **Real Value**: The true effect depends on **inflation**. If inflation is higher than the wage hike, workers may not gain purchasing power.
4. **Economic Effect**: Frequent wage hikes without productivity growth may cause cost-push inflation, raising prices.
5. **Example**: If salary rises from ₹30,000 to ₹33,000 (10% hike), but inflation is 8%, the real increase is only 2%.

Q8. How does Money Illusion influence people's perception of wage increase and price change?

1. **Focus on Nominal Wages**: People often celebrate wage increases, ignoring whether prices have also increased.
2. **Illusion of Wealth**: They feel richer after a wage hike, even if inflation cancels out the actual benefit.
3. **Misjudgment**: This leads to wrong spending decisions and unrealistic wage demands, causing economic imbalances.
4. **Policy Challenges**: Governments and employers struggle with negotiations because workers resist nominal wage cuts even if real wages are unchanged.
5. **Example**: A worker is happy when their salary rises by ₹2,000, but if food and rent costs rise equally, their living standard remains the same or worsens.

Q9. In what way does Behavioural Economics interact with other Social Sciences?

1. **Psychology**: Explains how emotions, biases, and heuristics affect decision-making (e.g., loss aversion, framing).
2. **Sociology**: Highlights the influence of **social norms, culture, and peer behavior** on economic choices.
3. **Political Science**: Helps in designing effective public policies, tax systems, and nudges by predicting real human reactions.
4. **Anthropology**: Studies cultural and traditional practices that shape consumer behavior and exchange systems.
5. **Example**: A "nudge" policy (like placing healthy food at eye level in cafeterias) combines psychology and sociology with economics to influence healthier choices.

Q10. Explain People's Perception of Gains and Losses in Behavioural Economics.

1. **Reference Dependence**: People judge outcomes relative to a reference point (current income or expectations).
2. **Loss Aversion**: Losses feel about **twice as painful** as equivalent gains feel good.
3. **Risk Attitudes**: People are risk-averse when facing gains (prefer sure small gain) but risk-seeking when facing losses (prefer gamble over sure loss).
4. **Framing Effect**: The way a choice is presented (as gain or loss) changes people's decisions, even if outcomes are the same.
5. **Example**: A doctor telling patients "90% survive this treatment" sounds better than "10% die," even though both mean the same.

Q11. How does Behavioural Economics explain Consumer Choices?

1. **Bounded Rationality**: Consumers cannot process all information perfectly, so they use **mental shortcuts** in making decisions.
2. **Influence of Emotions**: Choices are affected by advertising, social pressure, and mood rather than pure logic.
3. **Biases**: Behavioural economics explains patterns like **present bias** (preference for immediate rewards) and **status quo bias** (sticking to defaults).
4. **Heuristics**: Consumers rely on simple rules such as "buy the popular brand" or "choose what's on discount," even if it's not the best option.
5. **Example**: A customer buying a luxury brand phone for status and emotional appeal, even though a cheaper model offers the same features.

Q12. Explain Behavioural Economics.

1. **Definition**: Behavioural economics combines insights from psychology and economics to study real-world human decision-making.
2. **Departure from Rationality**: It challenges the classical assumption that people are always rational, showing that decisions are often biased or emotional.
3. **Core Concepts**: Includes heuristics, framing, money illusion, loss aversion, and bounded rationality.
4. **Applications**: Used in public policy, health, savings, retirement planning, and consumer protection to design better outcomes.
5. **Example**: "Nudge theory" – automatically enrolling workers in pension schemes increases savings, because most people stick with the default option.

UNIT 2

Q1. Discuss Revisiting Rationality

1. **Traditional Economic Assumption**: Classical and neo-classical economics assumed that human beings are *perfectly rational*. This means that

consumers and firms always make logical decisions, aiming to maximize their benefits or profits. For example, a consumer is expected to compare all available options and select the one that gives maximum satisfaction at minimum cost.

2. **Behavioural Insights**: Behavioural economics challenges this strict rationality. It shows that people often make choices based on *emotions, biases, and social influences*, not just logic. For instance, a person may buy an expensive branded shirt not because it is rationally better, but because of social prestige.
3. **Bounded Rationality**: Herbert Simon introduced the concept of "bounded rationality," which highlights that individuals face limitations of time, information, and cognitive ability. Instead of making the best possible decision, people often settle for one that is *"good enough."* This is called satisficing.
4. **Practical Implications**: By revisiting rationality, governments and organizations design policies and strategies that match *real human behavior*. Nudges, default options, and behavioral interventions are tools that consider limited rationality.
5. **Example**: Many employees do not voluntarily enroll in retirement savings plans even though it is rational. By automatically enrolling them with an option to opt-out, policymakers increase savings. This shows how revisiting rationality improves outcomes.

Q2. Explore the Various Models of Decision Making and Describe Their Key Characteristics

1. **Rational Model**: Assumes that decision-makers have complete information, analyze all alternatives, and choose the option that

maximizes benefit. This model works well in structured problems but is less practical in uncertain conditions.

2. **Bounded Rationality Model**: Proposed by Herbert Simon, it states that people make decisions with limited knowledge and time. Instead of the best solution, they choose a *satisfactory* one.
3. **Intuitive Model**: Decisions are made based on *gut feeling, experience, or instinct*. This is especially useful when time is short or information is unclear, such as a doctor making a quick emergency diagnosis.
4. **Prospect Theory Model**: Developed by Kahneman and Tversky, it explains that people value *gains and losses differently*. Losses hurt more than gains of equal size, making people risk-averse in gains but risk-seeking in losses.
5. **Example**: A company may use the rational model for long-term budget allocation, the bounded rationality model for quick operational fixes, and the intuitive model when a manager selects a candidate in an interview.

Q3. Apply the Concept of Marginal Utility to Real-Life Consumer Decision

1. **Definition**: Marginal utility is the *additional satisfaction* a consumer gets from consuming one more unit of a good or service.
2. **Law of Diminishing Marginal Utility**: As consumption of a product increases, the extra satisfaction gained from each additional unit decreases. This law explains why demand curves slope downward.
3. **Consumer Decision Making**: A rational consumer continues buying a product until the *marginal utility equals the price*. If the marginal utility falls below price, further consumption stops.
4. **Practical Example**: Consider eating slices of pizza. The first slice gives high satisfaction, the second gives slightly less, and by the fourth or fifth slice, the consumer feels little or no satisfaction. Hence, the consumer stops buying more slices.
5. **Application in Real Life**: A student buying pens at ₹10 each will buy two pens because both are useful. But he won’t buy a third pen, as the satisfaction (marginal utility) of the third pen is less than the price.

Q4. Illustrate the Application of Different Decision-Making Models

1. **In Business**: Companies use the *rational model* for structured decisions like budget allocation, investment strategies, or pricing policies. Logical calculations guide these long-term decisions.
2. **In Consumer Choices**: *Prospect theory* explains why customers react differently to discounts and surcharges. A "₹50 discount" feels better than avoiding a "₹50 surcharge," even though the monetary outcome is the same.
3. **In Government Policy**: Policymakers use the *bounded rationality model* to design simple systems like auto tax deductions or default pension schemes because people cannot process complex procedures.
4. **In Daily Life**: Individuals often rely on the *intuitive model* in uncertain or urgent situations, such as a driver hitting the brakes instantly when a child runs across the road.
5. **Example**: A company may apply the rational model to analyze financial data for cost-cutting, the intuitive model to launch a creative product idea, and prospect theory to design marketing campaigns with attractive gain-framing.

Q5. Identify and Discuss the Core Axioms of Choice Theory

1. **Completeness**: Consumers can compare and rank any two alternatives. For example, when choosing between tea and coffee, a person either prefers tea, prefers coffee, or is indifferent. This ensures all choices are comparable.
2. **Transitivity**: If a consumer prefers tea over coffee and coffee over juice, then they must also prefer tea over juice. This ensures consistency in preferences.
3. **Non-Satiation**: "More is better." Consumers always prefer more of a good rather than less, assuming quality and other factors remain constant. For example, more money is always considered better than less money.

4. **Rationality**: Consumers act in a way that maximizes their utility, given their budget constraints. Even though behavioral economics shows deviations, this remains a core assumption in classical choice theory.
5. **Example**: A shopper choosing groceries applies these axioms unconsciously—ranking preferences (completeness), staying consistent in choices (transitivity), and maximizing satisfaction from their limited budget (rationality).

Q6. How Does the Concept of Retail Theory Relate to Choice Theory? Explain with an Example

1. **Link to Consumer Behavior**: Retail theory applies principles of choice theory to explain how consumers make decisions while shopping in real markets.
2. **Influence of Alternatives**: Shoppers compare price, quality, and utility of different brands, reflecting the completeness and rationality axioms of choice theory.
3. **Retail Strategies**: Retailers influence consumer choices using discounts, offers, product placement, and advertisements. These nudges shift preferences, even when rational evaluation remains constant.
4. **Psychological Factors**: Consumers may not always act rationally; emotions, brand loyalty, and heuristics affect retail decisions, connecting retail theory to behavioral economics.
5. **Example**: A customer choosing between two shampoos—Brand A (₹250) and Brand B (₹200)—may select Brand A due to brand loyalty, even if rational utility per rupee is higher for Brand B. Retail theory explains this deviation through choice theory.

Q7. Discuss Public Choice Theory and Explain with Examples

1. **Definition**: Public choice theory applies economic tools to political science. It studies how governments, politicians, and voters make decisions, assuming they act in self-interest.

2. **Politicians' Behavior**: Politicians may support policies that increase their chances of re-election, even if not economically efficient.
3. **Voter Behavior**: Voters may make choices not based on rational evaluation but influenced by emotions, campaigns, or short-term benefits.
4. **Policy Outcomes**: Public decisions are shaped by lobbying, interest groups, and self-interest, often leading to government inefficiency.
5. **Example**: A politician may support subsidies for farmers before elections to gain votes, even if the subsidy increases government expenditure. This reflects public choice theory in action.

Q8. Describe Various Models of Rationality and Their Implications

1. **Perfect Rationality**: Assumes people have unlimited knowledge and always make optimal choices. Implication: Policies based on this fail in real life because humans are not perfectly rational.
2. **Bounded Rationality**: Recognizes limitations of time and information. Implication: People "satisfice" instead of optimize, which explains real-world behavior better.
3. **Procedural Rationality**: Focuses on *how* people make decisions, not just outcomes. Implication: Decision-making processes matter in evaluating rationality.
4. **Substantive Rationality**: Considers whether the outcome of a decision is rational, given goals and available information.
5. **Example**: An investor may not analyze all stock options (bounded rationality) but relies on simple rules like "invest in top 5 companies," showing rationality in procedure rather than perfection.

Q9. Practical Application of Choice Theory

1. **Consumer Behavior**: Explains how buyers select goods based on preferences, prices, and income, guiding marketing and retail strategies.

2. **Business Strategy**: Firms predict demand and design pricing models using choice theory assumptions.
3. **Public Policy**: Helps governments design subsidy schemes, welfare programs, and tax policies to maximize citizen satisfaction.
4. **Education and Health**: Choice theory helps in designing school vouchers, healthcare insurance, and patient treatment preferences.
5. **Example**: Online retailers like Amazon recommend products by analyzing consumer preferences, applying choice theory in e-commerce.

Q10. How Does Choice Theory Impact Environmental Decisions?

Influence of Individual Preferences

- Choice theory explains that decisions are based on individuals' preferences. When people value sustainability, they choose eco-friendly options like reusable bags, bicycles, or organic products.
- Example: A consumer buying an electric scooter instead of a petrol one reflects environmental choice driven by personal preference.

Policy Design and Incentives

- Governments apply choice theory to design environmental policies that guide citizens toward greener choices. Subsidies on renewable energy, carbon taxes, or incentives for recycling are based on influencing choices.
- Example: Tax benefits for installing solar panels encourage households to shift to clean energy.

Role of Businesses and Markets

- Firms respond to consumer demand shaped by choice theory. If people prefer sustainable goods, companies innovate and supply eco-friendly products, linking market behavior with environmental outcomes.
- Example: FMCG companies introducing biodegradable packaging to meet eco-conscious consumer demand.

Behavioral Nudges for Sustainability

- Choice theory also integrates with behavioral economics through nudges. Small changes in choice architecture encourage eco-friendly behavior without restricting freedom.
- Example: “Default” green energy plans by electricity providers increase adoption rates because consumers often stick with the default option.

Collective Environmental Impact

- When individual choices shift toward sustainability, the overall collective behavior reduces environmental harm. This demonstrates how personal utility-maximizing decisions can be aligned with global goals like reducing carbon emissions.
- Example: If large numbers of citizens choose public transport over cars due to lower costs and convenience, citywide pollution levels drop significantly.

Q11. Anchoring Effect

1. **Definition:** The anchoring effect is a cognitive bias in which people depend too much on the first piece of information they receive (the “anchor”) when making decisions. This anchor serves as a mental benchmark, and later decisions are adjusted around it, even when it may be irrelevant.
2. **Impact on Decision Making:** Once an anchor is set, people fail to adjust enough from it. For instance, if someone sees a product’s original price as very high, they perceive a discount as a great deal, even if the discounted price is still overpriced.
3. **Role in Negotiations:** Anchoring plays a huge role in bargaining. The first offer, whether from the buyer or seller, sets the tone for the negotiation. Even if the final price changes, it usually revolves around the anchor.
4. **Use in Marketing:** Businesses often use anchoring to influence buyers. Displaying “before” prices, artificial discounts, or premium product comparisons are techniques that create an anchor, shaping how the consumer evaluates the “deal.”

5. **Example:** A shirt with an original price tag of ₹2,000 offered at a "discount" of ₹1,200 feels like a bargain. The consumer's mind is anchored at ₹2,000, even if the shirt's true value is only ₹1,000.

Q12. Role of Heuristics in Decision Making

1. **Definition:** Heuristics are mental shortcuts or rules of thumb that people use to make decisions quickly and efficiently. While they save time, they often lead to systematic biases and errors.
2. **Efficiency in Uncertainty:** When faced with limited time or incomplete information, heuristics help simplify decisions. For example, while shopping, instead of comparing every detail, consumers may pick the brand they recognize.
3. **Types of Heuristics:**
    - *Availability heuristic*: relying on recent or memorable events.
    - *Representativeness heuristic*: judging by similarity to stereotypes.
    - *Anchoring heuristic*: depending on the first piece of information.
4. **Drawbacks:** Though useful, heuristics can mislead decisions. They often cause people to overestimate risks, fall for stereotypes, or stick with defaults without rational analysis.
5. **Example:** A person fears air travel more than road travel because of a recent plane crash in the news (availability heuristic), even though statistically, driving is riskier.